

MARKETING RESEARCH PROJECT

Reaching Every Shelf:

Danone Egypt's Distribution and Availability Challenge

Applying Malhotra's Marketing Research Process (Chapters 1 to 5)

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EMBA Program | 2026 • Course project: full research cycle, consumer survey N = 35

A Full-Cycle Learning Exercise

This is a course project. Our objective was to correctly walk the ENTIRE marketing research process, from problem definition to final recommendation, applying every chapter in sequence, not to publish market-grade data.

What we set out to do

- Define, design, collect, analyze, and report, every stage in order
- Use both qualitative (interviews) and quantitative (survey) methods
- State four hypotheses and test them against the data we gathered
- Reach a defensible management recommendation at the end

What we are transparent about

- Convenience sample, N = 35, urban-skewed: indicative, not representative
- The five retailer interviews are simulated composites built from secondary sources, used to illustrate the qualitative method, not offered as field evidence
- The value here is the process, executed correctly from start to end

What This Project Covers

1

The Problem

Danone's reach gap vs Juhayna

2

Problem Definition

Decision problem, research problem, hypotheses

3

Research Design

Exploratory + descriptive, secondary data

4

Qualitative Research

Depth interviews with shop owners

5

The Survey & Results

Live consumer survey, N = 35, findings

6

Recommendations

Answering the management question

THE PROBLEM

Juhayna Reaches More Shops Than Danone

In Egypt's dairy market the battle is won at the small grocery store. Juhayna's owned cold-chain network puts it on roughly a third more shelves than Danone (company-reported figures, July 2026).

~136,000

outlets reached by Juhayna

~100,000

points of sale reached by Danone

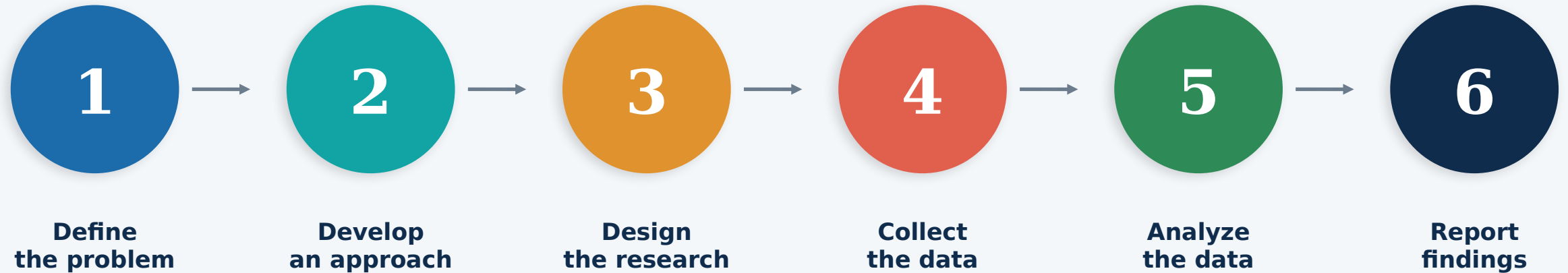
~26%

fewer outlets for Danone
(~36,000 shops)

Why it matters

Small traditional grocers are about 97% of retail food outlets and carry about 74% of retail food sales (USDA, 2019). When Danone is not on the shelf, shoppers simply buy whatever brand is there.

The Marketing Research Process We Followed



How this maps to our report: Steps 1-2 are Chapter 2, Step 3 is Chapter 3, Step 4 is Chapters 4 and 5 (interviews + survey), Steps 5-6 are the analysis and this report.

The Company and the Market

Danone Egypt

- Competes in dairy: yogurt, Activia, and Danette desserts
- Strategy built on premium, branded, value-added products
- Activia grew in 2024 on a gut-health and immunity message
- Competes through brand strength, not mass reach

The Egyptian Dairy Market

- Dairy and eggs worth about USD 2.59 billion in 2025, growing fast
- Crowded: Juhayna, Domty, Almarai/Beyti, Lactalis, Danone
- Local champions are vertically integrated and low cost
- Traditional small shops dominate distribution and sales

Defining the Problem

Management Decision Problem

What should management DO?

“Should Danone Egypt expand its distribution reach to compete with Juhayna's coverage in the Egyptian dairy market?”

Marketing Research Problem

What INFORMATION do we need?

Determine how limited availability affects consumers' yogurt choices and Danone's lost sales, and identify the distribution barriers from the retailer's side.

Research Questions and Hypotheses

We test four hypotheses with the survey data:

H
1

Availability significantly influences which yogurt brand consumers choose.

H
2

Danone's perceived availability is significantly lower than Juhayna's.

H
3

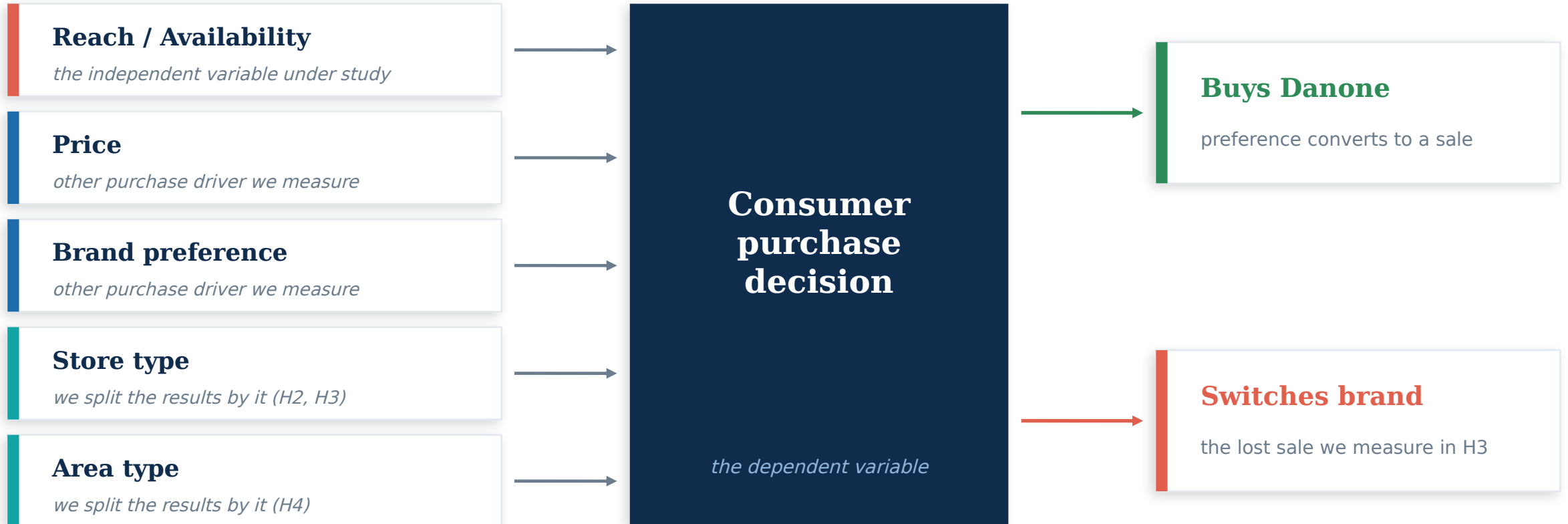
Many consumers have switched away from Danone because it was not available.

H
4

The availability gap is wider in rural areas than in major cities.

The Conceptual Model Behind the Hypotheses

Five variables feed one consumer outcome. Each hypothesis tests one arrow of this model.



The model in one line: *Reach/Availability + Price + Brand preference + Store type + Area type → Purchase vs Brand-switch*

Research Design: Two of the Three Types, by Choice

USED

Exploratory

Understand the issue

- Secondary data on the market and distribution networks
- Depth interviews with small-shop owners
- Sharpens the survey questions

USED

Descriptive

Quantify the relationships (cross-sectional)

- A single structured consumer survey
- Measures availability, choice, switching
- Tests the four hypotheses

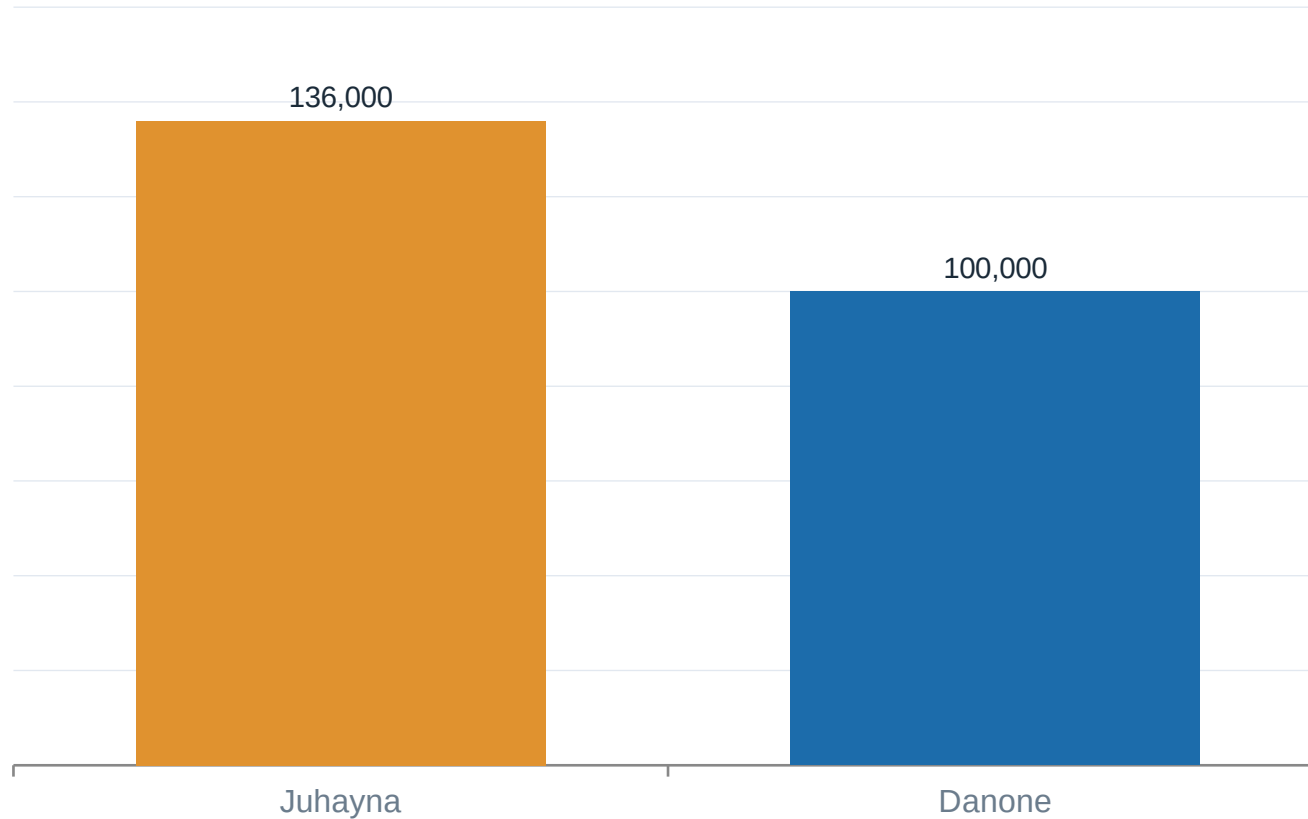
NOT USED

Causal

Prove that X causes Y (experiment)

- Would need a field experiment: vary availability, watch sales
- Not feasible in a course timeline or without Danone's cooperation
- So our verdicts are associations, stated as such, not proven causation

Secondary Data: The Distribution Gap



By the numbers

- Juhayna: 38 distribution centers, 1,000 vehicles
- Danone: 31 centers (7 direct, 24 indirect)
- OMDA project: ~380 micro-distributors serve ~50,000 rural retailers
- Reach figures are self-reported company numbers (websites, July 2026)

The Small Shop Decides the Game

~97%

of retail food outlets in
Egypt (USDA 2019)

74%

of retail food sales (USDA
2019)

113,724

traditional grocers
nationwide (USDA 2019)

\$2.59B

dairy & eggs market, 2025
(IMARC)

When the decisive channel is the neighbourhood shop, shelf presence is everything.

CHAPTER 4 - FINDINGS

Why Juhayna Wins the Shelf

Five retailer depth interviews, from city centre to village (illustrative composites). Five themes recur.

Rep / van visits

Juhayna calls weekly to twice-weekly, to the door. Danone ranges from once a week in a big Cairo shop to never in the village.

Delivery

Juhayna delivers and stacks. Danone usually must be collected from a wholesaler, which lone and rural shops cannot do.

Risk terms

Juhayna: small minimums, light credit, takes back near-expiry stock. Danone: cash up front, larger minimum, spoilage is the grocer's loss.

The cooler

Juhayna and Almarai supply the branded fridge. Danone rarely does; in the village, cooler plus cold delivery is the whole game.

Demand pull

Customers ask by name for Activia and Danette and will wait. For plain yogurt they take whatever is on the shelf.

The gap widens monotonically: present on city main streets → "Danone stops at the big city" → simply absent in the village.

The Survey: Our Primary Data

Live electronic survey (Google Forms)

- Self-administered, in Egyptian Arabic, about 4 minutes
- Distributed via WhatsApp and social media
- Convenience and snowball sampling; target was 100 to 150
- Achieved N = 35 valid responses (pilot scale, indicative)
- Online and urban skew noted; offset by the retailer interviews

Each question earns its place

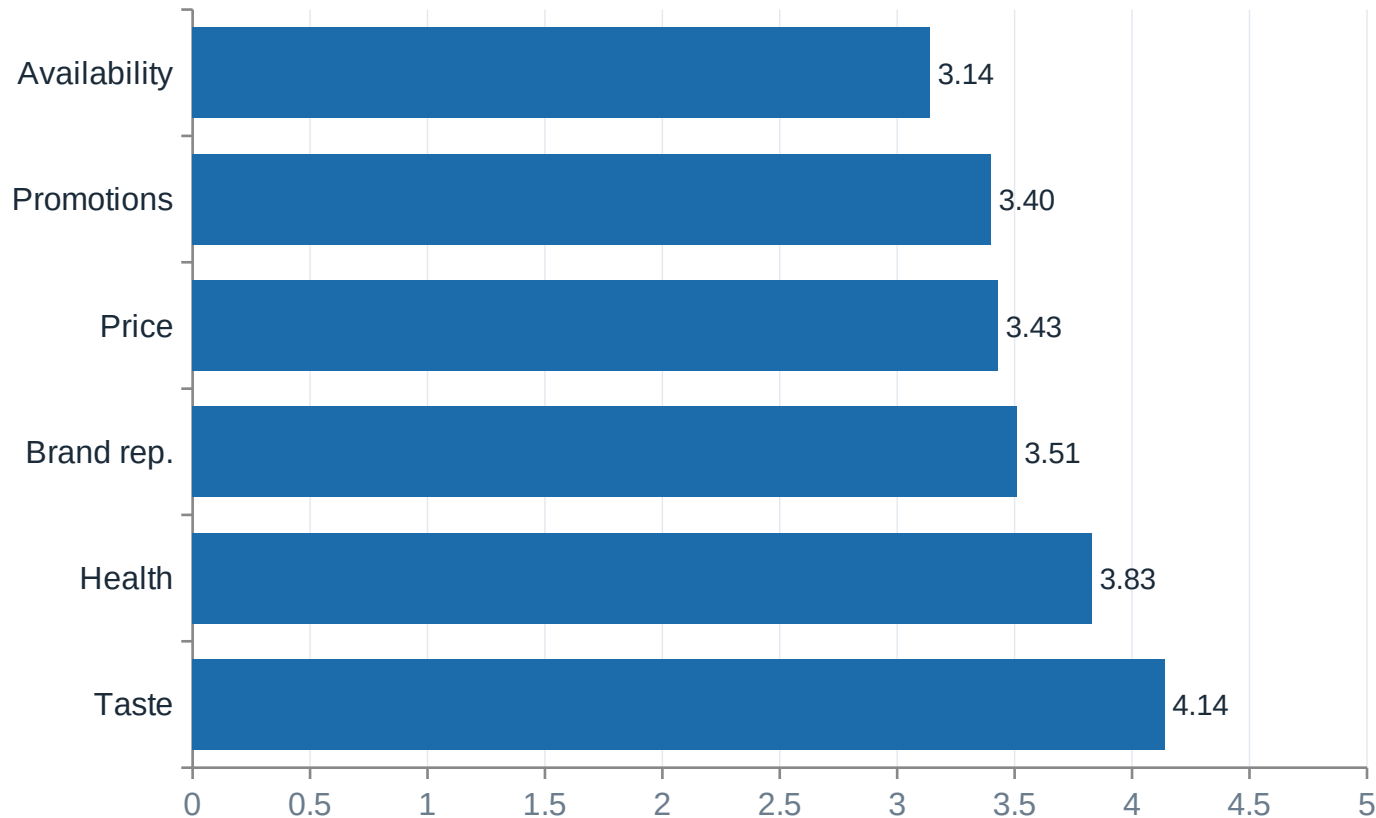
H1 - importance of availability

H2 - availability grid: Danone vs Juhayna

H3 - preferred vs actually-bought gap

H4 - availability split by area type

Who Answered, and What Drives Choice



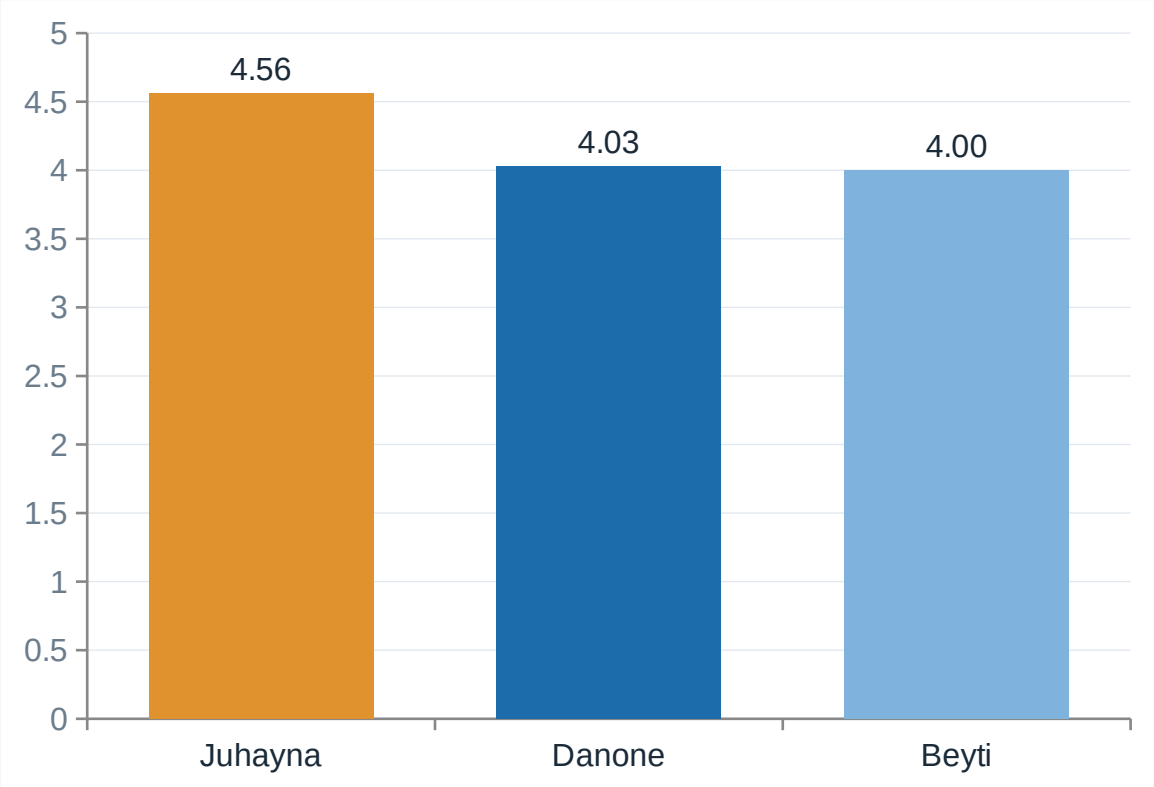
The sample (N = 35)

- Alexandria 24, Sharqia 6, Cairo 2, Dakahlia 2, Beheira 1
- Major city 23, town 10, village 2
- Only 7 (20%) buy from a small grocery, the key channel
- Skews urban and modern-trade, so it understates the gap

H1: availability ranks LAST of six drivers (3.14). It is a silent gatekeeper, not a stated preference.

The Gap Is Real, and It Costs Sales

H2 - Perceived availability (mean, 1-5)



Gap = 0.53. Modest at the consumer level, but the urban sample understates it.

H3 - Unrealised demand and switching

11 vs 5

prefer Danone vs actually buy it most → a gap of 6

32 of 35

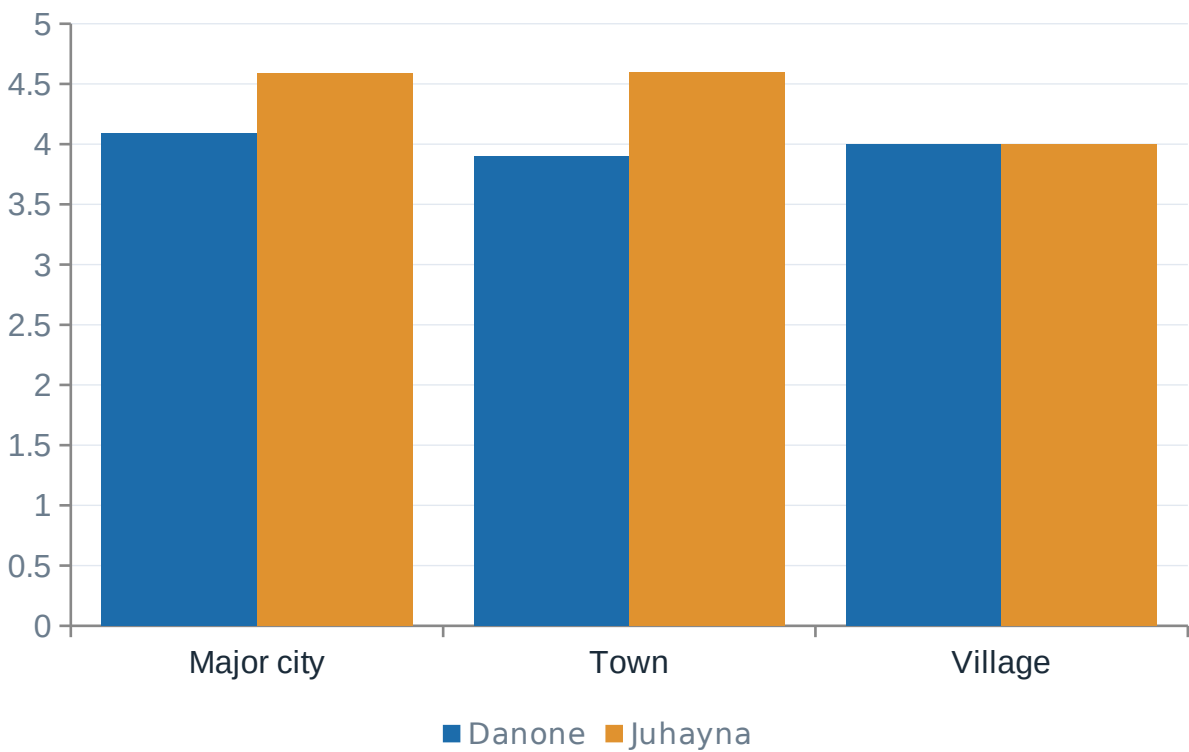
bought a competing brand when Danone was missing

Premium line

lost sales concentrate in Activia and Danette, where buyers ask by name and will wait

By Area, and the Verdict on Each Hypothesis

H4 - Danone vs Juhayna availability by area



City-to-town dip in the survey; only 2 rural respondents, so H4 leans on the interviews.

- H1** Not supported as a stated driver
ranks 6th of 6 (3.14)
- H2** Supported (modestly)
4.03 vs 4.56, gap 0.53
- H3** Supported
prefer 11 / buy 5; 32 of 35 switched
- H4** Directionally supported
city-town dip; clear in interviews

Recommendations

The binding constraint is route-to-market, not the product. Four moves, in priority order:

Fix the route-to-market

Match Juhayna's three shelf-winning levers: scheduled rep visits, near-expiry returns or consignment, and smaller minimum orders. Not advertising.

Lead with the premium line

Push Activia and Danette first, where brand-locked demand and the best retailer margin make an availability fix pay back fastest.

Towns before villages

Densify suburban and town coverage first for quick payback, then reach the rural last mile via micro-distributors and solar coolers.

Provide the cooler

Supply the branded fridge: a merchandising asset and the precondition for stocking chilled product where power is unreliable.

Limitations and What the Exercise Taught Us

We would rather name the limits of a course-scale study than overclaim. This is where a real project would go next.

Honest limitations

- Sample: convenience, N = 35, Alexandria and urban-skewed; only 7 buy from small grocers, the key channel, so the gap is understated
- Interviews: five simulated composites from secondary sources, not real fieldwork
- Results are directional and indicative, not statistically representative

With more time, and what we learned

- Scale to 100 to 150 respondents with genuine rural and small-grocer representation
- Run real depth interviews with shop owners in each area type
- The core learning: designing and executing the full research cycle correctly, from problem definition through to a defensible recommendation

Everything Is Online: Scan or Click

The full project site (Arabic)

Interactive report: problem, method, live results, and all the files, readable on any phone.



<https://amsamms.github.io/danone-distribution-research/>

The live consumer survey

The actual Google Form (Arabic) our 35 respondents filled. Still live: try it yourself.



docs.google.com/forms/... (scan the code)

Thank You

Questions and discussion

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The Retailer Depth-Interview Guide

Retailer Interview Guide | Danone Egypt Distribution

Retailer Depth-Interview Guide

Qualitative Research (Malhotra Chapter 4) - Danone Egypt Distribution Project

Interviewer: _____ Date: _____ Shop area: () City centre () Town / suburb () Village / rural

Method

Semi-structured, one-to-one depth interview, about 10 to 15 minutes. Talk to the owner of a small grocery store. Take notes (or record with permission). Aim for 3 to 5 retailers, mixing at least one city shop and one village shop. Goal: understand the supply side, that is, why small shops stock Juhayna more readily than Danone.

Before you start

Introduce yourself and the academic purpose, promise confidentiality, and ask permission to take notes.

Shop profile (warm-up)

1. How long have you run this shop? Roughly how many customers a day?

2. Roughly what share of your sales is dairy and yogurt?

Brands stocked

3. Which yogurt and dairy brands do you currently stock? (let them list freely)

4. Which one sells the most? Why do you think that is?

The core: Danone vs Juhayna

5. Do you stock Danone? Why or why not?

6. How often does the Juhayna sales rep / van visit you? And the Danone one?

7. Who delivers to your door, and who do you have to order or collect from yourself?

Retailer Interview Guide | Danone Egypt Distribution

8. Differences in minimum order size, payment terms (cash vs credit), returns of expired stock, and fridge or cooler provided by the company?

9. Which company is easier to deal with, and why?

Demand vs availability

10. Do customers ever ask for Danone when you don't have it? What do they do then?

11. If Danone were as easy to get and as well-supported as Juhayna, would you stock more of it?

Wrap-up

12. In one sentence: what is the main reason Juhayna is on more shelves than Danone?

13. Anything else about dealing with dairy companies you would want them to know?

Arabic field cheat-sheet

Useful phrasings to ask the questions naturally:

(?which yogurt brands do you stock) بتجيب أنواع زيادي إيه؟

(?how often does the Juhayna rep visit? and Danone) مندوب جهينة بيعدي عليك كل قد إيه؟ ودانون؟

do customers ask for Danone when it is not available? what do) العميل بيطلب دانون ومش بتلاقية؟ بيعمل إيه ساعتها؟

(?they do

(?main reason Juhayna is in more shops than Danone) إيه أكثر سبب إن جهينة موجودة في محلات أكثر من دانون؟

How these findings feed the report

Code the answers into themes: rep / van visit frequency, delivery and terms, fridge support, customer demand pull, and margins. Quote two or three exact lines per theme. Use them in Chapter 4 to explain why the availability gap measured in the survey exists.

The Consumer Survey As Respondents Saw It

Live Google Form, Egyptian Arabic, 22 items in 4 sections. Read left to right, top to bottom.

APPENDIX C - REFERENCES

Sources Behind Every Number

Same numbered sources as the written report. Every figure quoted in this deck traces to one of these and was re-verified against the live source on 6 July 2026.

- 1 Malhotra, N. K. Essentials of Marketing Research, 1st Edition, Pearson. The research process, problem definition, research design, secondary data, qualitative research, and surveys.
- 2 Juhayna Food Industries: Distribution (company website). 38 distribution centers, 1,000 vehicles, ~136,000 retail outlets served. Accessed 6 Jul 2026. juhayna.com/farm-to-fork/distribution
- 3 Danone Egypt: About Us and Impact (company website). 7 direct + 24 indirect distribution centers, ~100,000 points of sale, OMDA rural micro-distribution (~380 micro-distributors, ~50,000 retailers). Accessed 6 Jul 2026. danone.eg/about-us-new · danone.eg/impact
- 4 USDA Foreign Agricultural Service: Egypt Retail Foods Report (GAIN EG19009, 27 Jun 2019). Traditional grocers 113,724, ~74% of retail food sales; modern trade 3,913 outlets (~26% of sales); traditional share of outlets ~97% (derived from these counts). apps.fas.usda.gov (GAIN: Retail Foods, Cairo, Egypt)
- 5 Euromonitor International: Yoghurt and Sour Milk Products in Egypt. Best Cheese Co (Lactalis) maintains category leadership. Accessed 6 Jul 2026. euromonitor.com/yoghurt-and-sour-milk-products-in-egypt/report
- 6 Mordor Intelligence: Middle East and Africa Dairy Market. MEA dairy ~USD 42.83B (2025); Egypt dairy CAGR ~3.72% (2026-2031). Corroboration. Accessed 6 Jul 2026. mordorintelligence.com/industry-reports/middle-east-and-africa-dairy-market
- 7 IMARC Group: Egypt Dairy Products & Eggs Market. USD 2,586.1M (2025), projected USD 5,588.4M (2034), CAGR 8.49%. Accessed 6 Jul 2026. imarcgroup.com/egypt-dairy-products-eggs-market